EPS WITH BONUS ISSUE

Financial Reporting

same profit, more shares!

IN SIMPLE WORDS *Bonus shares bring no new money, so restate old share counts as if the bonus came at the start.*

(1) BONUS ISSUE

Free issue of shares to existing holders, usually from reserves. Total resources do not change, only the share count.

no cash comes in

(2) IND AS 33 ADJUSTMENT

Shares outstanding before the event are adjusted for the proportionate change, as if it occurred at the beginning of the earliest period presented.

restate all periods shown

1. Bonus shares are issued without consideration, so there is no time-weighting of the bonus shares.
2. Basic EPS of current and all comparative periods is restated for the bonus.
3. Bonus after the reporting date but before approval of the financial statements: per-share figures use the new share count.
4. In that case, disclose that fact (Ind AS 33 and Ind AS 10).



Swipe for the formula →

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THE BONUS FACTOR

Ind AS 33: Basic EPS with bonus issue

multiply only the old shares

Adjusted shares for pre-bonus shares

ADJUSTED SHARES =

$$\text{Pre-bonus shares} \times (O + B) / O$$

O = old shares held before bonus; B = bonus shares. 1:1 bonus gives factor 2. Time-weight the pre-bonus shares as usual; do not weight B.

Basic EPS

$$\textbf{BASIC EPS} = \frac{\text{Profit for equity holders (P)}}{\text{Weighted avg. equity shares (W)}}$$

P = profit after tax less preference dividend (and tax on it): non-cumulative if declared, cumulative whether declared or not. W uses adjusted shares.

BONUS REDUCES EPS PER SHARE, NOT VALUE! Shares issued for cash after the bonus date are weighted normally and are not multiplied by the factor.

Swipe for a memory trick ⟶

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STUDY TRICK

Ind AS 33: Basic EPS with bonus issue

free shares, free of time

CUT THE CAKE INTO MORE SLICES

A bonus cuts the same cake into more slices: more shares, same total. So restate every earlier period with the same number of slices.

HOW TO ATTEMPT IT

1 Find the bonus ratio and factor → 2 Pre-bonus shares × factor →

3 Time-weight cash issues normally → 4 Bonus shares: outstanding from start

→ 5 Restate comparative EPS; divide

EXAM TIP

Apply the factor only to shares outstanding before the bonus. Shares issued for cash after it are not multiplied.

DOUBT BUSTER

Why not time-weight the bonus shares from the bonus date?

No resources come in, so there is no extra earning capacity. Ind AS 33 treats the bonus as if it happened at the start of the earliest period.

Swipe for common mistakes →

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COMMON MISTAKES

Ind AS 33: Basic EPS with bonus issue

don't let the factor run wild

✗ Time-weighting the bonus shares from the bonus date

✓ Bonus shares are not time-weighted; restate pre-bonus shares as if the bonus was at the start of the earliest period.

✗ Leaving the previous year's EPS unchanged

✓ Restate comparative EPS for the bonus, so that periods are comparable.

✗ Using profit before preference dividend as the numerator

✓ Deduct preference dividend (and tax on it): non-cumulative if declared, cumulative whether or not declared.

TOMORROW'S CA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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